IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, (COURT-II)

Item No. 1
(CAA)-140(ND)2019

IN THE MATTER OF:

M/s. Indian Steel and Power Pvt. Ltd.	**...**	**Applicant/Petitioner**
Versus		
M/s. Pushp Steels and Mining Pvt. Ltd.	**...**	**Respondent**

Under Section: 230-232

Order delivered on 19.02.2021

CORAM:

SHRI. ABNI RANJAN KUMAR SINHA
HON'BLE MEMBER (J)

SHRI. L. N. GUPTA
HON'BLE MEMBER (T)

ORDER

The Order is pronounced in the Open Court today.

-Sd-

(L.N. GUPTA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)

(Sapna)

NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH (COURT-II)

COMPANY PETITION NO. (CAA)-140(ND)/2019
IN
COMPANY APPLICATION NO. CA(CAA)-105(ND)/2019

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND THE MATTER OF:

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/S INDIAN STEEL AND POWER PRIVATE LIMITED
Village Charuda, Mohandi Road
Siltara District, Raipur
Chattisgarh -493221 ...Transferor/Petitioner No.1 Company

WITH

PUSHP STEELS AND MINING PRIVATE LIMITED
751, Ground Floor
Kundenwalan Street,
Ajmeri Gate
Delhi-110006 ...Transferee/Petitioner No.2 Company

AND

Their respective Shareholders and Creditors

Order Delivered On : 19.02.2021

CORAM :

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L. N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT :

For the Petitioners : Sh. Rakesh Kumar, Advocate
For Income Tax Department : Mr. Kunal Sharma, Advocate
For RD and OL : Ms. Tania Sharma, Advocate

ORDER

PER SHRI L.N. GUPTA, MEMBER (T)

This Joint Application has been filed by the Indian Steel and Power Private Limited, (hereinafter referred as Transferor/Petitioner no.1 Company) and M/s Pushp Steels and Mining Private Limited, (hereinafter referred as Transferee/Petitioner No.2 Company) under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation. Both the companies together are hereinafter referred as the Petitioner Companies. The copy of the Scheme has been placed on record.

2. That since the Registered office of the Transferor Company is situated at Village Charauda Mohandi Road, Siltara District Raipur, Chhattisgarh-493221, it had sought permission from the Hon'ble Principal Bench for filling a joint application vide CA-485(PB)/2019. The same was allowed by the Hon'ble Principal Bench vide its order dated 18.03.2019, which is reproduced below:

"This is an application seeking permission for filing of joint application in the NCLT Bench which has territorial jurisdiction over the transferee company. According to the master data of the transferee company the registered office of the transferee company is at Ajmeri Gate, Delhi whereas the transferor company's registered office is at Chhattisgarh. Accordingly, we permit the filing of joint application in the NCLT, Delhi where Registered office of the transferee company is situated. Application stands disposed of."

In the light of the aforesaid order and the fact that the Registered office of the Transferee Company is in Delhi, the jurisdiction lies with this Tribunal.

3. That a perusal of the petition reveals that initially the First Motion Application seeking directions for dispensing with the meetings of Shareholders and Creditors was filed before this Tribunal under Sections 230-232 of the Companies Act, 2013 and this Tribunal vide its first motion order issued directions with respect to the same. On 13.11.2019, the Petitioner Companies were directed to carry out publication in the newspapers viz, 'Financial Express' an English Daily and Jansatta' (Delhi Edition), Hindi Daily. In addition thereto notices were directed to be served upon the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the Official Liquidator, the Income Tax Department and the other relevant sector regulators.

4. It is seen from the records that the Petitioners have filed an affidavit affirming due compliance of the order dated 13.11.2019 passed by the Tribunal. A perusal of the Affidavit reveals that the petitioners have effected the newspaper publication in 'Financial Express' in English and 'Jansatta' in Hindi on 02.02.2020 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of the petition were duly served upon the Regional

Director Northern Region, Registrar of Companies Delhi and Haryana, the Official Liquidator and the Income Tax Department in compliance of the order.

5. That the Regional Director, Northern Region, Ministry of Corporate Affairs had filed its report dated 10.07.2020 and raised certain objections, which were replied by the Petitioner Companies. The objection-wise reply furnished by the Petitioner Companies is reproduced below :

S.No.	Para & Page Nos.	Objections	Response
1.	Para 9 (a) – Page 4	The valuation has not been carried out by registered valuer in terms of Rule 27 of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016	The date of valuation in the present matter is 9th December 2018. The relevant circular dated 27th October 2018 has referred that the valuation through registered valuer will carry out w.e.f. 1st February 2019. In the present case, the valuation report is on 9th December 2018. At that point of time, there was no requirement for carrying out the valuation through registered valuer.
2.	Para 9 (b) – Page 4	The appointed date is 1st April 2018, however the value of the share is based on the assets and liability on 8th December 2018. The Board considered the valuation of share on 8th December 2018. However, the valuation	The asset and liability as on 8th December 2018 has been taken on the basis of the latest financial statement to exchange ratio of valuation of shares. There is no legal embargo to take the said financial statement. It is not necessary that the assets and liability as on appointed date should be taken i.e. 1st April 2018.

		report refers the date on 9th December 2019.	There was a typographical error in date of valuation report. It was mentioned as 9th December 2019. Factually, the date of valuation is 9th December 2018. The valuer has issued the letter for admitting the said typographical mistake which has been enclosed with the response affidavit.
3.	Para 9(c) – Page 5-6	The objection for taking the fresh approval for inserting the main objects of the Transferor Company into Transferee Company in terms of Section 13 of the Companies Act, 2013	It is stated that the issues no longer res integra. The Transferee Company, after the Scheme of Amalgamation, can carry out the objects of the Transferor Company without complying the provisions of Section 13 of the Companies Act, 2013.
4.	Para 11 (a) – Page 6	The Report from the ROC Chhattisgarh where registered office of the Transferor Company may be separately obtained.	The Hon'ble Tribunal has already passed the directions to the RD to that effect in the previous orders.
5.	Para 11 (b) – Page 6-7	The addition of authorized capital of Transferor Company into Transferor Company. The companies are required to follow the provisions of Section 232(3)(i) of the Companies Act, 2013. The clause has not been mentioned in the Scheme.	It has also been stated through an affidavit that the authorized capital of the Transferor Company be added in Transferee Company upon sanctioning of the Scheme in terms Section 232(3)(i) of the Companies Act, 2013 after the dissolution of Transferor Company and fee, if any paid by the Transferor Company on its authorized capital shall be set off against any fee payable by the Transferee Company on its authorized capital subsequent to amalgamation.

6. That in view of the above, the following clarifications were sought by this Bench from RD (North) and the Applicant Companies on 11.10.2020 :

"1) That the RD had raised certain objections vide its Report dated 10.07.2019, responses to which were duly filed by the Petitioner Companies on 29.07.2020.

2) The Counsel for the RD is directed to clarify whether they are satisfied with the responses given by the Petitioner Companies or otherwise. In case they are satisfied, let them file 'no objection' towards the Scheme proposed by the Petitioner Companies. The Ld. Counsel for the RD is directed to file their response by 16.10.2020, failing which it will be presumed that they do not have any objection.

3) It will also be confirmed by the Applicant Companies by way of their respective affidavits that there are no proceeding/inquiry or investigation pending against either of the Applicant Companies."

7. That the RoC Chhattisgarh did not file its response despite several opportunities. Therefore, this Tribunal vide order dated 25.09.2020 had closed their right to file report.

8. That the Applicant Companies have filed Affidavits and stated that no proceeding/inquiry or investigation is pending against either of the Applicant Companies.

9. That the RD (North) filed its Affidavit on 11.01.2021 and submitted that they were not satisfied with some of the replies given by the Applicant Companies.

10. That in response, the Applicant Companies again filed their replies to the objections raised by the RD.

11. That the RD (North) in its last Affidavit filed with this Tribunal on 02.02.2020 has submitted that they are satisfied with the replies filed by the Applicant Companies and therefore, the Hon'ble Tribunal may consider the matter. The concluding paragraph of the RD's report is reproduced below :

> *"In the instant matter, it is to submit that the date of valuation report of shares is considered as 09.12.2018 instead of 09.12.2019 and it falls under Rule 11 of the Companies (Registered Valuers and Valuation) Rules, 2017 and the reply of the company is satisfactory. The Hon'ble Tribunal may kindly consider the same."*

12. That during the course of final hearing held on 03.02.2021, the Counsel for the RD submitted that the RD Delhi as well as RD Chhattisgarh have no objection to the proposed Scheme.

13. The Official Liquidator has filed a report dated 08.06.2020 stating that it has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the Petitioner Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

14. That the Income Tax Department has filed it report dated 30.06.2020 and submitted that neither any tax liability nor any proceeding is pending against the Transferor Company under the Income Tax Act.

15. Certificates of respective Statutory auditors of the both the Petitioner Companies have been placed on record to the effect that the Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the

Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. In view of the foregoing, upon considering the approval accorded by the Members and Creditors of all Companies to the proposed Scheme, and no objection granted by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation under Section 230-232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Transferor and Transferee Companies, and their Shareholders and Creditors. The Parties shall also be bound to comply with the requisite statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

18. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under Income Tax Act,

1961 or serve as any exemption or defense for the Applicant Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

19. **THIS TRIBUNAL FURTHER DIRECTS :**

(i) That upon the sanction becoming effective from the Appointed date of amalgamation, i.e., 1st April, 2018, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) That all the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same.

(iii) That all the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

(iv) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company;

(v) That all benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(vi) That all contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(vii) That all the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and

contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(viii) That all liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

20. The Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to the Applicant Companies shall be maintained in a consolidated manner.

21. **The Company Petition is accordingly allowed.**

-Sd-

(L.N. GUPTA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)

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For the Petitioners : Sh. Rakesh Kumar, Advocate
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Director Northern Region, Registrar of Companies Delhi and Haryana, the Official Liquidator and the Income Tax Department in compliance of the order.

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5.	Para 11 (b) – Page 6-7	The addition of authorized capital of Transferor Company into Transferor Company. The companies are required to follow the provisions of Section 232(3)(i) of the Companies Act, 2013. The clause has not been mentioned in the Scheme.	It has also been stated through an affidavit that the authorized capital of the Transferor Company be added in Transferee Company upon sanctioning of the Scheme in terms Section 232(3)(i) of the Companies Act, 2013 after the dissolution of Transferor Company and fee, if any paid by the Transferor Company on its authorized capital shall be set off against any fee payable by the Transferee Company on its authorized capital subsequent to amalgamation.

6. That in view of the above, the following clarifications were sought by this Bench from RD (North) and the Applicant Companies on 11.10.2020 :

"1) That the RD had raised certain objections vide its Report dated 10.07.2019, responses to which were duly filed by the Petitioner Companies on 29.07.2020.

2) The Counsel for the RD is directed to clarify whether they are satisfied with the responses given by the Petitioner Companies or otherwise. In case they are satisfied, let them file 'no objection' towards the Scheme proposed by the Petitioner Companies. The Ld. Counsel for the RD is directed to file their response by 16.10.2020, failing which it will be presumed that they do not have any objection.

3) It will also be confirmed by the Applicant Companies by way of their respective affidavits that there are no proceeding/inquiry or investigation pending against either of the Applicant Companies."

7. That the RoC Chhattisgarh did not file its response despite several opportunities. Therefore, this Tribunal vide order dated 25.09.2020 had closed their right to file report.

8. That the Applicant Companies have filed Affidavits and stated that no proceeding/inquiry or investigation is pending against either of the Applicant Companies.

9. That the RD (North) filed its Affidavit on 11.01.2021 and submitted that they were not satisfied with some of the replies given by the Applicant Companies.

10. That in response, the Applicant Companies again filed their replies to the objections raised by the RD.

11. That the RD (North) in its last Affidavit filed with this Tribunal on 02.02.2020 has submitted that they are satisfied with the replies filed by the Applicant Companies and therefore, the Hon'ble Tribunal may consider the matter. The concluding paragraph of the RD's report is reproduced below :

> *"In the instant matter, it is to submit that the date of valuation report of shares is considered as 09.12.2018 instead of 09.12.2019 and it falls under Rule 11 of the Companies (Registered Valuers and Valuation) Rules, 2017 and the reply of the company is satisfactory. The Hon'ble Tribunal may kindly consider the same."*

12. That during the course of final hearing held on 03.02.2021, the Counsel for the RD submitted that the RD Delhi as well as RD Chhattisgarh have no objection to the proposed Scheme.

13. The Official Liquidator has filed a report dated 08.06.2020 stating that it has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the Petitioner Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

14. That the Income Tax Department has filed it report dated 30.06.2020 and submitted that neither any tax liability nor any proceeding is pending against the Transferor Company under the Income Tax Act.

15. Certificates of respective Statutory auditors of the both the Petitioner Companies have been placed on record to the effect that the Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the

Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. In view of the foregoing, upon considering the approval accorded by the Members and Creditors of all Companies to the proposed Scheme, and no objection granted by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation under Section 230-232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Transferor and Transferee Companies, and their Shareholders and Creditors. The Parties shall also be bound to comply with the requisite statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

18. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under Income Tax Act,

1961 or serve as any exemption or defense for the Applicant Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

19. **THIS TRIBUNAL FURTHER DIRECTS :**

(i) That upon the sanction becoming effective from the Appointed date of amalgamation, i.e., 1st April, 2018, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) That all the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same.

(iii) That all the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

(iv) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company;

(v) That all benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(vi) That all contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(vii) That all the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and

contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(viii) That all liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

20. The Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to the Applicant Companies shall be maintained in a consolidated manner.

21. **The Company Petition is accordingly allowed.**

-Sd-

(L.N. GUPTA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)